

LABOUR LAW - II : UNIT IV

EPF, MATERNITY BENEFIT & PAYMENT OF GRATUITY

LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law

🎯 TARGET: 75+ MARKS | UNIT IV COVERAGE: 100%

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UNIT IV — OVERVIEW & SYLLABUS SCOPE

★★★★★ HIGHEST PRIORITY UNIT

Unit IV deals with **THREE** major welfare legislations:

1. **Employees' Provident Funds & Miscellaneous Provisions Act, 1952**
2. **Maternity Benefit Act, 1961** (amended 2017)
3. **Payment of Gratuity Act, 1972**



What's IN Unit IV

- **EPF Act 1952:**
 - Applicability, objectives
 - Three schemes — PF, Pension Scheme 1995, EDLI Scheme 1976
 - Contributions, benefits, withdrawal
- **Maternity Benefit Act 1961 + 2017 Amendment:**
 - Applicability, eligibility
 - 26 weeks paid leave
 - Crèche facility (50+ employees)
 - Work-from-home option
 - Protection from dismissal
- **Payment of Gratuity Act 1972:**
 - Applicability, eligibility (5 years)
 - Formula: $(\text{Last wage} \times 15 \times \text{years}) \div 26$
 - Maximum Rs.20 lakh
 - Nomination, forfeiture, recovery
 - Controlling Authority



What is NOT in Unit IV

- ~~Wages, Code on Wages~~ → Unit I
- ~~Bonus~~ → Unit II
- ~~Employees' Compensation Act, ESI~~ → Unit III
- ~~Factories Act, Child Labour, Equal Pay~~ → Unit V



Expected Exam Questions from Unit IV

- **Part A:** 1-2 short notes (Maternity leave 26 weeks, Gratuity formula, EPF schemes very likely)
- **Part B:** 1 long essay (often Gratuity Act OR Maternity Benefit OR EPF)
- **Part C:** Possibly 1 problem (gratuity eligibility/forfeiture OR maternity dismissal)



Critical Numbers to Memorize

EPF Act 1952

- Threshold: **20+ employees** in scheduled industries
- Wage ceiling: **Rs.15,000/month**

- Employee contribution: **12%**
- Employer contribution: **12%** (split: 8.33% to Pension + 3.67% to PF)
- Government to Pension: **1.16%**
- EDLI employer contribution: **0.50%**
- Pension Scheme launched: **16 Nov 1995**
- Pension service required: **10 years**
- Full pension age: **58 years**
- EDLI maximum: **Rs.7 lakh**

Maternity Benefit Act 1961

- Eligibility: **80 days** worked in 12 months
- Leave: **26 weeks** (biological mother, first 2 children)
- Leave: **12 weeks** (3rd child onwards, adoptive, surrogacy)
- Crèche: **50+ employees**
- Medical bonus: **Rs.3,500**
- Miscarriage leave: **6 weeks**
- Tubectomy leave: **2 weeks**

Payment of Gratuity Act 1972

- Threshold: **10+ employees**
- Eligibility: **5 years** continuous service (waived in death/disablement)
- Formula: **(Last wage × 15 × years) ÷ 26**
- Maximum: **Rs.20 lakh** (2018 amendment)
- Payment: Within **30 days**
- Continuous service: **240 days** (190 in mines/seasonal)

PART A — SHORT NOTES (6 marks each)

A.1 — Employees' Provident Fund (EPF) Act 1952 ★★★★★

Full Name: Employees' Provident Funds and Miscellaneous Provisions Act, 1952.

Definition: A social security legislation providing **RETIREMENT SECURITY** through compulsory savings during working life. Now consolidated into **Code on Social Security, 2020**.

Objectives:

- **Compulsory savings** for old age and contingencies
- **Insurance against death** of breadwinner
- **Monthly pension** after retirement
- Implement **Article 41** (right to social security)

Applicability [Section 1(3)]:

- Every factory employing **20+ persons** in any of **187 scheduled industries**

- Every establishment notified by Central Government
- Once applicable, **continues** even if employees drop below 20
- Voluntary coverage available for smaller establishments

Three Schemes under EPF Act:

1. **Employees' Provident Fund Scheme, 1952** — retirement savings (lump sum)
2. **Employees' Pension Scheme, 1995** — monthly pension post-retirement
3. **Employees' Deposit-Linked Insurance Scheme, 1976** — life insurance

Contributions:

- **Employee: 12%** of basic + DA
- **Employer: 12%** (split: 8.33% to Pension Fund + 3.67% to PF)
- **Government: 1.16%** to Pension Fund (capped at Rs.15,000 wage)
- **EDLI: 0.50%** by employer
- **Administrative charges: 0.50%** by employer

Wage Ceiling: Rs.15,000/month for mandatory coverage; above is voluntary.

Administrative Authority:

- **Employees' Provident Fund Organisation (EPFO)** — under Ministry of Labour
- **Central Board of Trustees (CBT)** — apex body
- **Regional Provident Fund Commissioners**

📌 **Example:** On a basic salary of Rs.15,000:

- Employee pays Rs.1,800 (12%)
- Employer pays Rs.1,800 (12%) — Rs.1,250 to pension + Rs.550 to PF
- Government adds Rs.174 (1.16% to pension)
- EDLI: Rs.75 (0.50% by employer)

💡 **TIP:** Mnemonic — “**PF-PS-EDLI = 12-12-8.33-3.67-1.16**”

A.2 — Employees' Provident Fund Scheme 1952 ★★★★★

Provision: Section 5 of EPF & MP Act, 1952.

Definition: A retirement savings scheme providing **lump-sum amount** to employees on retirement, resignation, or termination of service.

Key Features:

- Both employer and employee contribute **12% each** of basic + DA
- Out of employer's 12%, only **3.67% goes to PF**; remaining 8.33% goes to Pension Scheme
- **Interest credited annually** (currently around 8-8.5%)

- **Tax exempt under Section 80C** of Income Tax Act (up to Rs.1.5 lakh per year)
- Tax-free withdrawal after 5 years of continuous service

Universal Account Number (UAN):

- Portable across jobs since **2014**
- **One UAN** for entire career
- Single account follows employee from job to job
- Online withdrawal and balance check

Conditions for Withdrawal:

Full Withdrawal

- **Retirement at age 58**
- **Resignation followed by unemployment > 2 months**
- **Permanent migration abroad**
- **Death of member** (paid to nominee)

Partial Withdrawal Conditions

- **Marriage** — of self, children, siblings (after 7 years service)
- **Education** — of self or children (after 7 years service)
- **Medical treatment** — for serious illness (no minimum service)
- **Home purchase/construction** (after 5 years service)
- **Home loan repayment** (after 10 years service)
- **Pre-retirement** — 90% withdrawal allowed at age 54

Significance:

- Builds substantial retirement corpus over years
- Tax-efficient savings instrument
- Forced savings discipline
- Family security on member's death

 **Example:** A worker with 30 years of EPF contribution at Rs.15,000 basic earns:

- Total contributions: $\text{Rs.15,000} \times 24\% \times 12 \times 30 = \text{Rs.12,96,000}$ (rough)
- With 8% interest compounded annually: Approximately **Rs.40-50 lakh corpus** at retirement

A.3 — Employees' Pension Scheme 1995 ★★★★★

Provision: Section 6A of EPF Act, 1952 (introduced 1995).

Definition: A scheme providing **MONTHLY PENSION** to members after retirement. Launched **16 November 1995** under Section 6A.

Eligibility:

- Member of EPF on/after **16 Nov 1995**

- **Minimum 10 YEARS** of pensionable service
- **Age 58** for full pension
- **Reduced pension** available from age 50 (4% deduction per year)

Funding:

- **Employer's 8.33%** (out of 12%) goes to Pension Fund
- Capped at **Rs.15,000 wage** (i.e., max Rs.1,250/month to pension)
- **Government contributes 1.16%** additionally

Pensionable Service: Total service contributing to Pension Scheme.

Pensionable Salary: Average of last 60 months' wages.

Pension Formula:

Monthly Pension = (Pensionable Salary × Pensionable Service) ÷ 70

Types of Pension:

1. Superannuation Pension

- Member retiring at age **58 with 10+ years service**
- Full pension as per formula

2. Early Pension

- Retirement between **age 50-58**
- Reduced by **4% per year** below 58

3. Permanent Total Disability Pension

- For permanent disablement during service
- 10-year service requirement **WAIVED**

4. Widow/Widower Pension

- On death of member
- Payable for life (until remarriage of widow)

5. Children Pension

- For children up to age 25
- Up to 2 children at a time

6. Orphan Pension

- If both parents deceased
- Higher amount than children pension

Minimum Pension: Rs.1,000/month (from September 2014 by government decision).

 **Example:** Pensionable salary Rs.15,000, service 25 years:

- Pension = $(15,000 \times 25) \div 70 = \text{Rs.5,357 per month}$

 **Example:** Pensionable salary Rs.15,000, service 15 years:

- Pension = $(15,000 \times 15) \div 70 = \text{Rs.3,214 per month}$

A.4 — EDLI Scheme 1976 ★★★★★

Full Name: Employees' Deposit-Linked Insurance Scheme, 1976.

Definition: Provides **LIFE INSURANCE** to EPF members. Lump sum payable to nominee on death of member **while in service**.

Key Features:

- **Automatic coverage** — all EPF members covered
- **No separate contribution** by employee
- **Employer contributes 0.50%** of wages (capped at Rs.15,000) to EDLI fund

Benefits:

- **Maximum:** Rs.7,00,000 (current ceiling)
- **Minimum:** Rs.2,50,000 (assured benefit)

Formula:

Insurance = (Average monthly wage of preceding 12 months $\times$ 35) + 50% of average PF balance (max Rs.1,75,000)

Eligibility for Family:

- **Continuous EPF membership for 12 months** immediately preceding death
- Member must have died **while in service** (not after retirement)

Beneficiaries:

- **Nominee** as per EPF Form 2 (FAMILY DECLARATION)
- If no nomination — legal heirs as per succession laws

Purpose:

- Financial security for family
- Compensates for loss of breadwinner
- Quick lump-sum payment (no protracted legal process)

 **Example:**

- Worker dies in service after 5 years of EPF membership
- Average monthly wage: Rs.15,000
- Average PF balance: Rs.2,00,000
- Insurance calculation: $(15,000 \times 35) + 50\% \text{ of } 1,75,000 \text{ (capped)} = \text{Rs.5,25,000} + \text{Rs.87,500} = \text{Rs.6,12,500}$
- Nominee receives Rs.6,12,500 (subject to max Rs.7 lakh)

Significance:

- Worker pays nothing — pure insurance benefit
- Quick payout to family on death
- Combined with EPF + Pension for comprehensive security

A.5 — Maternity Benefit Act 1961 ★★★★★

Full Name: Maternity Benefit Act, 1961 (significantly amended in 2017).

Definition: Protects the employment of women during maternity and entitles them to **PAID LEAVE** for childbirth and post-delivery care.

Constitutional Backing:

- **Article 15(3)** — Special provisions for women
- **Article 39(d)** — Equal pay for equal work
- **Article 39(e)** — Health of workers including women
- **Article 42** — Maternity relief mandate

Applicability [Section 2]:

- Every establishment that is a **factory, mine, plantation**
- Every shop or establishment with **10+ persons**
- Government establishments (Central/State)
- Other establishments notified by appropriate government

Eligibility [Section 5]:

- Woman must have worked at least **80 DAYS** in the 12 months immediately preceding the expected date of delivery
- Notice must be given to employer
- Medical proof of pregnancy required

Key Provisions:

- **26 weeks** paid leave (biological mothers, first 2 children)
- **12 weeks** for 3rd child onwards
- **12 weeks** for adoptive/commissioning mothers
- **6 weeks** for miscarriage
- **2 weeks** for tubectomy operation
- **1 month** additional for pregnancy-related illness
- **Two nursing breaks daily** until child is 15 months old
- **Medical bonus Rs.3,500** (if no free medical care)
- **No dismissal** during maternity leave
- **No heavy work** during last 6 weeks before delivery + 6 weeks after

Significance:

- Among the highest maternity leave in the world (after 2017 amendment)
- Recognizes new family structures (adoption, surrogacy)
- Promotes women's workforce participation

- Implements ILO Maternity Protection Convention (No. 183)

📌 **Example:** Woman worker in a factory who has worked for 100 days in past 12 months and is expecting her first child is entitled to **26 weeks paid leave** + medical bonus + protection from dismissal.

A.6 — Maternity Leave (26 weeks) — 2017 Amendment



Provision: Section 5 of Maternity Benefit Act, 1961, as amended by **Maternity Benefit (Amendment) Act, 2017**.

Background:

- Original 1961 Act provided only **12 weeks** maternity leave
- **2017 Amendment** extended it to **26 weeks** — bringing India among countries with highest maternity leave
- Effective from **1 April 2017** (1 July 2017 for crèche provision)

Key Changes by 2017 Amendment:

1. *Extended Maternity Leave [Section 5(3)]*

- **26 WEEKS** for biological mother (first 2 children)
- Up to **8 weeks before** expected delivery + remaining after
- **12 weeks** for **3rd child onwards**
- **12 weeks** for **adoptive mother** (adopting child below 3 months)
- **12 weeks** for **commissioning mother** (surrogacy)

2. *Work-from-Home Option [Section 5(5)]*

- After maternity leave ends
- If nature of work permits
- Subject to **mutual agreement** between employer and employee

3. *Crèche Facility [Section 11A]*

- **MANDATORY** for establishments with **50+ employees**
- Within prescribed distance from workplace
- Woman entitled to visit crèche **4 times daily**
- Effective from **1 July 2017**

4. *Information to Employees [Section 11A(2)]*

- Employer must **inform woman in writing** at time of joining about her maternity rights

Payment During Leave:

- **Average daily wage** for actual days absent
- Calculated based on preceding 3 months' wages
- Employer pays during leave period
- Cannot be denied or reduced

Eligibility:

- Worked at least **80 days** in 12 months preceding expected delivery
- Apply with medical proof

Other Related Benefits:

- Medical bonus Rs.3,500
- Nursing breaks
- No dismissal during leave

Example:

- A woman in IT company expects her first child on 1 December 2024
- She can avail maternity leave from 6 October 2024 (8 weeks before) to 31 May 2025 (26 weeks total)
- Or any combination within 26 weeks
- Gets full salary throughout
- Cannot be dismissed during this period

Significance:

- Promotes work-life balance
- Encourages women's continued workforce participation
- India's leave duration among the highest globally (after Canada at 50 weeks)
- Implements gender-inclusive welfare

A.7 — Crèche Facility under MB Act ★★★★★

Provision: Section 11A of Maternity Benefit Act, 1961 (added by 2017 amendment).

Definition: A crèche is a **child care facility** at or near the workplace where working mothers can leave their infants/young children during work hours.

Mandatory Establishments:

- Every establishment having **50 OR MORE employees** (women + men + transgender together)
- Even if only a few women employees exist
- Public AND private sector

Location Requirements:

- **At or near the establishment**
- Within a "prescribed distance" (typically within 500 meters)
- Easily accessible to working mothers

Coverage:

- Children of working mothers (usually up to 6 years of age)

- Also extended to children of male employees in some interpretations

Facilities to be Provided:

- Safe, hygienic, age-appropriate environment
- Trained childcare staff
- Proper ventilation, lighting
- Sleeping arrangements
- Recreational facilities
- Sanitation
- First aid
- Nutritious meals/feeding facilities

Mother's Rights:

- Woman to be allowed **4 visits per day** to crèche
- Includes the nursing breaks under Section 11
- For breastfeeding and child care

Expenses:

- **Borne by the employer**
- Can be shared if multiple establishments use common crèche
- Some State governments provide partial subsidy

Penalty for Non-Compliance:

- Failure to maintain crèche = violation of MB Act
- Section 21 — penalties under the Act
- Fine + imprisonment for repeat offences

Significance:

- Enables mothers to return to work after maternity leave
- Promotes breastfeeding (continued for at least 15 months)
- Supports child development
- Reduces workplace attrition of women employees

Example:

- An IT company with 200 employees (60 women, 140 men)
- **MANDATORY** to provide crèche
- Mothers can drop infants at company crèche before work
- Visit 4 times during work hours for feeding
- Pick up at end of day

Other Acts Mandating Crèche:

- **Factories Act, 1948** — Section 48 (30+ women)
- **Mines Act, 1952**
- **Plantations Labour Act, 1951**

- Beedi & Cigar Workers Act, 1966
- Building Workers Act, 1996

The 2017 amendment to MB Act extended the crèche requirement to ALL establishments with 50+ employees — a major step beyond factory-specific provisions.

A.8 — Payment of Gratuity Act 1972 ★★★★★

Full Name: Payment of Gratuity Act, 1972.

Definition: Provides **LUMP-SUM RETIREMENT BENEFIT** to employees for **long and meritorious service**. Bridges the gap between active service and retirement.

Legal Status:

- Gratuity is a **STATUTORY RIGHT**, not charity
- Described as **“REWARD FOR PAST SERVICE”** (*Indian Hume Pipe v. Workmen*, 1960)
- A **“DEFERRED WAGE”**
- Implements **Article 41** (right to social security)

Applicability [Section 1(3)]:

- Every **factory, mine, oilfield, plantation, port, railway**
- Every shop or establishment with **10+ persons** on any day in preceding 12 months
- Educational institutions, hospitals, motor transport
- Once applicable, **CONTINUES** even if employees drop below 10

Definition of Employee [Section 2(e)]:

- Any person (other than apprentice) employed for wages
- Manual, skilled, unskilled, supervisory, technical, clerical
- **NO wage ceiling** for coverage (earlier had; removed)
- Includes teachers in private schools (after 2009 amendment with retrospective effect)

Eligibility [Section 4]:

- **Continuous service of 5 YEARS**
- Termination by retirement, resignation, superannuation, death, or disablement

Exception: 5-year requirement **WAIVED** in case of:

- **Death** — paid to nominee/heirs
- **Disablement** due to accident/disease

Formula:

🟡 $\text{Gratuity} = (\text{Last drawn wage} \times 15 \times \text{Years of service}) \div 26$

Maximum: Rs.20 lakh (raised from Rs.10 lakh by 2018 amendment).

Payment Timeline:

- Within **30 DAYS** of becoming payable
- Delay → Simple interest at rate notified by Central Government

📌 **Example:** Salary Rs.30,000, 10 years service:

- $\text{Gratuity} = (30,000 \times 15 \times 10) \div 26 = \text{Rs.1,73,077}$

💡 **TIP:** Mnemonic — “**15 by 26**” → $(\text{Wage} \times 15 \times \text{Years}) \div 26$. Max Rs.20 lakh.

A.9 — Gratuity Formula ★★★★★

Provision: Section 4(2) of Payment of Gratuity Act, 1972.

🟡 **The Formula:**

$\text{Gratuity} = (\text{Last drawn wage} \times 15 \times \text{Completed years of service}) \div 26$

Components Explained

“Last Drawn Wage”

- **Basic + Dearness Allowance (DA)**
- Excludes HRA, conveyance, overtime, bonus, commission
- Wage at the time of separation

“15”

- Represents **15 days’ wages** per completed year of service
- Half-month equivalent

“Years of Service”

- **Completed years**
- **Fraction beyond 6 months** treated as full year
- Fraction less than 6 months ignored

“26”

- Number of **working days in a month** (excluding weekly off)
- Conversion from monthly to daily wages

Maximum Limit

- **Rs.20 lakh** (raised from Rs.10 lakh by 2018 amendment)
- Amount above ceiling is **TAXABLE**

Special Cases

1. Seasonal Employment

- **7 days’ wages** per season (instead of 15)
- For workers in factories operating only certain seasons

2. Piece-Rated Workers

- Wage = average of preceding 3 months
- Then apply the standard formula

3. Apprentices

- NOT covered (apprenticeship period excluded)

Calculation Examples

Example 1: Salary Rs.30,000, service 10 years

- Gratuity = $(30,000 \times 15 \times 10) \div 26 = \text{Rs.1,73,077}$

Example 2: Salary Rs.40,000, service 22 years 7 months

- Service rounded to 23 years (7 months > 6)
- Gratuity = $(40,000 \times 15 \times 23) \div 26 = \text{Rs.5,30,769}$

Example 3: Salary Rs.50,000, service 35 years

- Gratuity = $(50,000 \times 15 \times 35) \div 26 = \text{Rs.10,09,615}$
- This is below Rs.20 lakh max, so this is the gratuity

Example 4: Salary Rs.1,00,000, service 30 years

- Gratuity = $(1,00,000 \times 15 \times 30) \div 26 = \text{Rs.17,30,769}$
- This is below Rs.20 lakh max, so this is the gratuity

Example 5: Salary Rs.1,50,000, service 30 years

- Gratuity = $(1,50,000 \times 15 \times 30) \div 26 = \text{Rs.25,96,154}$
- This exceeds Rs.20 lakh — **capped at Rs.20 lakh**

Tax Treatment

Private Sector

- Up to **Rs.20 lakh** — **TAX EXEMPT** under Section 10(10)(ii) of Income Tax Act
- Above Rs.20 lakh — taxable

Government Sector

- Fully tax-exempt for gratuity under Section 10(10)(i)

💡 **TIP:** Mnemonic — “15 by 26, 5 to claim, 30 to pay, 20 lakh max.”

A.10 — Nomination under Gratuity Act ★★★★★

Provision: Section 6 of Payment of Gratuity Act, 1972.

Concept: Nomination is the process by which an employee specifies the **person(s) to receive his gratuity** in case of his death.

Mandatory Requirement:

- Every employee with **1+ YEAR** of service **MUST** nominate
- In prescribed **FORM F**
- Filed with the employer
- Maintained in records

Who Can Be Nominated?

Family Members (if family exists)

- Spouse
- Children
- Parents (dependent)
- Brothers, sisters (dependent, in limited cases)

Important: If family exists, nomination must be to family members **ONLY**.
Nomination of non-family members is **VOID**.

Non-Family Members (if no family)

- If employee has no family, may nominate anyone
- Friend, distant relative, charity
- Must be specified clearly

Modification of Nomination:

- Nomination can be **modified or replaced**
- On marriage — employee should update nomination
- On birth of child — may modify to include child
- On death of nominee — replace with another

Distribution Among Multiple Nominees:

- Employee can specify **shares** for multiple nominees
- If shares not specified — equal among nominees
- One person may be nominated for entire amount

If No Nomination:

- Gratuity goes to **legal heirs** as per applicable succession laws
- (Hindu Succession Act, Indian Succession Act, Muslim personal law)
- Requires succession certificate from court
- Delays distribution

On Member's Death:

- Gratuity paid **directly to nominee**
- No succession certificate needed
- Quick disbursement
- Within 30 days of claim

Importance of Nomination:

- Avoids family disputes

- Quick payment to intended beneficiary
- Recognizes employee's wishes
- Saves time and legal costs

Example:

- Employee Mr. Sharma joins company in 2015
- Marries in 2017, has child in 2019
- He should update nomination after marriage (from parents to wife + child)
- On death in 2024 — gratuity goes directly to nominees
- No need for legal heirs to obtain succession certificate

Form F Requirements:

- Name and address of employee
- Name and address of nominee(s)
- Relationship with employee
- Shares (if multiple nominees)
- Signature of employee
- Witnessed by 2 witnesses
- Counter-signed by employer

Failure to Nominate:

- Employee continues to work without nomination
- On death, gratuity goes to legal heirs
- May cause family disputes
- Some companies remind employees periodically

A.11 — Forfeiture of Gratuity ★★★★★

Provision: Section 4(6) of Payment of Gratuity Act, 1972.

Concept: Gratuity, although a statutory right, can be **FORFEITED** in case of certain misconduct by the employee.

Two Categories of Forfeiture:

1. Partial Forfeiture [Section 4(6)(a)]

Ground: Where employee causes **damage or loss to property** of employer by **wilful omission or negligence**.

Extent:

- Forfeiture **to the extent of damage/loss only**
- Not the entire gratuity
- Excess gratuity payable

 **Example:** Employee through negligence damages machinery worth Rs.1 lakh. His gratuity entitlement is Rs.5 lakh. **Rs.1 lakh forfeited** to recover

damage; Rs.4 lakh paid.

2. Total Forfeiture [Section 4(6)(b)]

Grounds:

(i) Riotous or Disorderly Conduct or Violence

- Violent conduct at workplace
- Threats, assault on supervisors/co-workers
- Property destruction
- Causing breach of peace

(ii) Offence Involving Moral Turpitude in Course of Employment

- Crime involving dishonesty, deceit, or depravity
- Theft, fraud, forgery, sexual harassment
- Misappropriation of company funds
- Must be committed **in course of employment**
- Conviction by court is helpful evidence

Extent:

- **Entire gratuity** can be forfeited
- No amount payable

Conditions for Forfeiture

1. Forfeiture Must Be Specifically Ordered

- Order **at the time of terminating service**
- Cannot be done later as afterthought
- Should be in writing
- Must specify reasons

2. Termination of Service is Essential

- Mere commission of misconduct insufficient
- Employee must be **dismissed/terminated**

3. Domestic Enquiry Required

- Proper enquiry must precede dismissal
- Show-cause notice given
- Opportunity to be heard
- Natural justice followed

4. Section 4(6) to be Strictly Complied

- Grounds must precisely fit Section 4(6)
- Other misconducts don't justify forfeiture
- Burden of proof on employer

Misconducts NOT Justifying Forfeiture

- Poor performance

- Habitual absenteeism (unless causing loss)
- Insubordination (unless violent)
- Negligence (unless wilful and causing damage)
- Trade union activities
- Going on strike

Case Laws

⚖️ **Case:** *Bharat Gold Mines Ltd. v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating service.

⚖️ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal Ltd. (2007)* — Forfeiture only if Section 4(6) strictly satisfied; cannot be presumed.

⚖️ **Case:** *Wazir Chand v. Union of India (2001)* — Conviction relevant but not always essential; departmental finding sufficient.

Procedure

- Detect misconduct
- Issue show-cause notice
- Conduct domestic enquiry
- Pass termination order with forfeiture specifically mentioned
- Communicate to employee
- Defend in challenge before Controlling Authority

Remedies for Employee

- Challenge forfeiture before **Controlling Authority** (Section 7)
- Appeal to Appellate Authority within 60 days
- Writ petition in High Court for arbitrary forfeiture
- Civil suit for recovery (limited)

💡 **TIP:** Mnemonic — “**PARTIAL** = Damage; **TOTAL** = Riot or Moral Turpitude”

A.12 — Controlling Authority under Gratuity Act ★★★★★

Provision: Section 3 of Payment of Gratuity Act, 1972.

Constitution: The **appropriate government** appoints one or more **Controlling Authorities** to administer the Act.

Definition:

- The Controlling Authority is the **PRIMARY ADJUDICATING AUTHORITY** under the Gratuity Act
- Usually a senior labour officer or judicial officer
- Has powers similar to a civil court
- Notified by State/Central Government

Functions and Powers:

1. Receive and Decide Claims

- Application for payment of gratuity in **Form I, J, or K**
- Hear both parties
- Decide quantum and entitlement

2. Issue Recovery Orders

- For non-payment of gratuity
- Direct employer to pay
- Certify amount for recovery

3. Adjudicate Disputes

- Disputes about amount
- Eligibility (continuous service)
- Forfeiture grounds
- Calculation methods
- Nomination disputes

4. Powers of Civil Court [Section 7(4)]

- Summon witnesses
- Examine on oath
- Require production of documents
- Issue commissions
- Pass orders enforceable as decrees

Procedure Before Controlling Authority:

Step 1: Application

- Employee applies in **Form N** within 90 days of becoming entitled
- Authority may condone delay
- Application specifies amount, period, basis

Step 2: Notice

- Notice issued to employer
- Both parties present case
- Documents examined

Step 3: Order

- Reasoned order passed
- Quantum determined
- Direction for payment

Step 4: Compliance

- Order enforceable against employer
- Time given for payment

Appeal [Section 7(7)]:

- Appeal lies to **Appellate Authority** (notified by government)

- Within **60 DAYS** of Controlling Authority's order
- Employer must deposit **amount** with appeal
- Further appeal to High Court on substantial question of law

Recovery [Section 8]:

- If employer fails to pay
- Controlling Authority issues certificate to **COLLECTOR**
- Recovered as **ARREARS OF LAND REVENUE**
- With interest at notified rate

Penalty for Non-Payment [Section 9]:

- Fine up to **Rs.10,000**
- Imprisonment up to **1 year**
- Both for non-payment with willful intent

Jurisdiction:

- Controlling Authority of the area where employer's establishment is located
- Or where workman was last employed
- If multiple offices, employee's choice

Example:

- Worker retires from Hyderabad branch of national company
- Files claim before Controlling Authority of Telangana
- Authority hears parties
- Orders payment within 30 days
- Employer fails to pay
- Authority issues recovery certificate to District Collector
- Collector attaches employer's bank account
- Recovery as land revenue arrears

Significance:

- Quick adjudication
- Specialized authority
- No costly litigation
- Workers' rights enforced effectively

🔑 Case: *Punjab National Bank v. K.K. Vohra (2007)* — Controlling Authority's order is final unless appealed.

PART B — LONG ESSAYS (15 marks each)

B.1 — EPF Act 1952 — Three Schemes (PF, Pension, EDLI)



Introduction

The **Employees' Provident Funds and Miscellaneous Provisions Act, 1952** is one of India's most important social security laws. It provides **RETIREMENT SECURITY** through compulsory savings during working life. It operates through three schemes:

1. Employees' Provident Fund Scheme, 1952
2. Employees' Pension Scheme, 1995
3. Employees' Deposit-Linked Insurance Scheme, 1976

Together, they cover crores of workers across India, building a comprehensive safety net against old age, premature death, and family contingencies. Now subsumed in the **Code on Social Security, 2020**, but the basic structure continues.

Objectives of EPF Act

- Compulsory savings for old age and contingencies
- Insurance against death of breadwinner
- Monthly pension after retirement
- Implement Article 41 (right to social security)
- Provide financial security through institutional framework

Applicability [Section 1(3)]

- Every factory employing **20+ persons** in any of **187 scheduled industries**
- Every establishment notified by Central Government
- Once applicable, **CONTINUES** even if employees drop below 20
- **Voluntary coverage** available for smaller establishments
- Excludes certain establishments (defense, government undertakings with own scheme)

Administrative Authority

Employees' Provident Fund Organisation (EPFO)

- Under Ministry of Labour and Employment
- Statutory body
- Manages funds of crores of workers

Central Board of Trustees (CBT)

- Apex body
- Tripartite — Government, employers, workers
- Policy decisions

Executive Committee

- Day-to-day administration

Regional Provident Fund Commissioners

- Field-level implementation
- Handle individual claims and disputes

Contributions

Party	Contribution	Where it goes
Employee	12% of basic+DA	PF (Scheme 1)
Employer	12% of basic+DA	8.33% to Pension + 3.67% to PF
Government	1.16% of basic+DA	Pension Fund
Employer	0.50% of basic+DA	EDLI Fund
Employer	0.50% of basic+DA	Administrative charges

Wage Ceiling: Rs.15,000/month for mandatory coverage; above is voluntary.

SCHEME 1: Employees' Provident Fund Scheme, 1952

Provides **LUMP-SUM SAVINGS** on retirement, resignation, or termination.

Key Features

- Both employer and employee contribute 12% each
- Out of employer's 12%, only **3.67% to PF**; rest to Pension
- **Interest credited annually** (currently around 8-8.5%)
- Tax-exempt under Section 80C (up to Rs.1.5 lakh)
- Tax-free withdrawal after 5 years

Withdrawal Conditions

- **Full withdrawal:** Retirement at age 58, unemployment > 2 months, permanent migration, death
- **Partial withdrawal:**
 - Marriage (self/children/siblings) — after 7 years
 - Education — after 7 years
 - Medical treatment — anytime
 - Home purchase/construction — after 5 years
 - Home loan repayment — after 10 years
 - Pre-retirement (90% at age 54)

Universal Account Number (UAN)

- Portable across jobs since 2014
- One UAN for entire career
- Online withdrawal and balance check

SCHEME 2: Employees' Pension Scheme, 1995

Provides **MONTHLY PENSION** after retirement. Launched **16 November 1995**

under Section 6A.

Funding

- Employer's 8.33% (out of 12%) goes to Pension Fund
- Capped at Rs.15,000 wage
- Government adds 1.16%

Eligibility for Pension

- Member of EPF on/after 16 Nov 1995
- Minimum **10 YEARS** of contributory service
- Age 58 for full pension
- Reduced pension from age 50 (4% deduction per year)

Types of Pension

1. **Superannuation Pension** — age 58 + 10 years service
2. **Early Pension** — age 50-58 (reduced)
3. **Permanent Total Disability Pension** — 10-year service waived
4. **Widow/Widower Pension** — on death, payable for life
5. **Children Pension** — up to age 25 (2 children at a time)
6. **Orphan Pension** — both parents dead

Formula

 **Monthly Pension = (Pensionable Salary × Pensionable Service) ÷ 70**

- Pensionable Salary = average of last 60 months
- Pensionable Service = total contributory service

 **Example:** Pensionable salary Rs.15,000, service 25 years: Pension = $(15,000 \times 25) \div 70 = \text{Rs.5,357/month}$

Minimum Pension

- Rs.1,000/month (from September 2014)

SCHEME 3: Employees' Deposit-Linked Insurance Scheme, 1976

Provides **LIFE INSURANCE** to EPF members. Lump sum payable to nominee on member's death while in service.

Contribution

- Employer pays **0.50%** of wages
- Employee — **NIL**

Benefits

- **Maximum:** Rs.7,00,000
- **Minimum:** Rs.2,50,000 (assured)

Formula

Insurance = (Average monthly wage × 35) + 50% of average PF balance (max Rs.1.75 lakh)

Eligibility

- Continuous EPF membership for 12 months preceding death
- Member must have died while in service

Penalties for Default

- Default in payment — interest at 12% p.a. + damages up to 100% of arrears
- Imprisonment 6 months to 3 years
- Fine up to Rs.10,000

Recovery Procedure

- **Section 8** — recovery as arrears of land revenue
- **Section 8F** — attachment of bank accounts
- **Section 14B** — damages for default
- Officer-level enforcement

Case Laws

⚖️ **Case:** *Regional PF Commissioner v. Shibu Metal Works (1965)* — Allied industries covered.

⚖️ **Case:** *Andhra University v. RPFC (1985)* — Universities can be covered.

⚖️ **Case:** *Marathwada Gramin Bank v. Shankar Lal (2010)* — Wide interpretation of 'employee'.

⚖️ **Case:** *RPFC v. Hooghly Mills (2012)* — Provident Fund Commissioner's powers upheld.

Conclusion

The EPF Act, 1952 with its three schemes — PF, Pension, and EDLI — provides **comprehensive retirement and survivor benefits**. It enforces forced savings while providing insurance and pension. Together, they ensure a worker need not face old age, disability, or family bereavement in poverty. The **Code on Social Security, 2020** has consolidated these provisions, ensuring continued protection for India's workforce. The challenge ahead is **extending EPF to the unorganized sector and gig economy workers**, fulfilling the constitutional vision of social security for all under **Article 41**.

B.2 — Maternity Benefit Act 1961 (with 2017 Amendment)



Introduction

The **Maternity Benefit Act, 1961** protects the employment of women during maternity and entitles them to **PAID LEAVE** for childbirth and post-delivery care. The **2017 amendment** significantly enhanced benefits — extending maternity leave to **26 weeks**, recognizing adoptive and commissioning mothers, and mandating crèche facilities. It reflects India's commitment under

Article 42 (just and humane conditions of work and maternity relief) and brings India's maternity leave among the **highest in the world**.

Objectives

- **Protect** women's employment during pregnancy and after childbirth
- Provide **income security** through paid maternity leave
- Promote **child welfare** and **breastfeeding**
- Implement constitutional mandate under **Articles 42 and 15(3)**
- Comply with **ILO Maternity Protection Convention (No. 183)**

Applicability [Section 2]

- Every establishment that is a **factory, mine, or plantation**
- Every shop or establishment with **10+ persons**
- Government establishments (Central/State)
- Other establishments notified by appropriate government

Note: Women covered under **ESI Act** are entitled to maternity benefit under ESI Act (26 weeks at full wage) — no double coverage.

Eligibility [Section 5]

- Woman must have worked at least **80 DAYS** in the 12 months immediately preceding expected delivery date
- Notice must be given to employer
- Medical proof of pregnancy required

BENEFITS UNDER THE ACT

1. Maternity Leave [Section 5] — 2017 Amendment

- **Biological Mother: 26 WEEKS** (extended from 12 weeks)
- Up to **8 weeks before** delivery; remaining after
- **From THIRD CHILD onwards** — only 12 weeks
- **Adoptive Mother: 12 WEEKS** (adopting child below 3 months)
- **Commissioning Mother: 12 WEEKS** (in surrogacy arrangement)

2. Payment During Leave [Section 5(1)]

- **Average daily wage** for actual days absent
- Calculated based on **preceding 3 months' wages**
- Employer pays during the leave period
- Cannot be denied or reduced

3. Miscarriage and Medical Termination [Section 9]

- **6 weeks** leave with wages from day of miscarriage

4. Tubectomy Operation [Section 9-A]

- **2 weeks** leave with wages

5. Additional Leave for Illness [Section 10]

- Up to **1 month** leave on medical certificate
- For illness arising from pregnancy/delivery/premature birth/medical

termination/tubectomy

6. Nursing Breaks [Section 11]

- **Two nursing breaks daily** until child is **15 months old**

7. Crèche Facility [Section 11-A] (2017 NEW)

- **MANDATORY** for establishments with **50+ employees**
- Within prescribed distance from workplace
- Woman to visit crèche **4 times daily**
- Effective from 1 July 2017

8. Work-from-Home Option (2017 NEW)

- After maternity leave
- If nature of work permits
- Subject to mutual agreement between employer and employee

9. Medical Bonus [Section 8]

- **Rs.3,500** if employer doesn't provide free pre/postnatal care

10. Protection from Dismissal [Section 12]

- **NO discharge/dismissal** during maternity leave
- Cannot terminate during pregnancy except on **grounds of misconduct**
- Penalty: imprisonment 3 months to 1 year + fine

11. Prohibition of Heavy Work [Section 4]

- **NO woman** knowingly to be employed during **6 weeks following delivery**
- **No heavy work**, long hours of standing during **1 month preceding** expected delivery

Information to Employees [Section 11-A(2)]

- Employer **MUST INFORM every woman employee in writing** at the time of joining about her rights under the Act
- Mandatory disclosure to ensure awareness

Inspector & Penalties [Sections 14, 21]

- **Inspectors** appointed by appropriate government
- **Failure to pay maternity benefit:** Imprisonment 3 months to 1 year + fine Rs.2,000-5,000
- **Failure to give notice/dismissal** contrary to law — penalised
- **Multiple offences** — enhanced punishment

Case Laws

⚖️ **Case:** *Municipal Corporation of Delhi v. Female Workers (2000)* — Even **daily wage/muster roll workers** are entitled to maternity benefit. SC held informal status doesn't deny statutory benefits.

⚖️ **Case:** *Air India v. Nergesh Meerza (1981)* — Discriminatory pregnancy-based termination unconstitutional.

⚖️ **Case:** *B. Shah v. Presiding Officer (1977)* — Section 13 prohibits computation of wages by deducting days of maternity leave.

⚖️ **Case:** *Anshu Rani v. State of UP (2014)* — Contractual employees entitled to maternity benefit.

Constitutional Backing

- **Article 15(3)** — Special provisions for women
- **Article 39(d)** — Equal pay for equal work
- **Article 39(e)** — Health of workers including women
- **Article 42** — Just and humane conditions + maternity relief
- **Article 43** — Living wage and decent standard

Significance of 2017 Amendment

India's Maternity Leave Among Highest in World

- 26 weeks places India among top countries
- Comparable to Canada (50 weeks), Norway (35 weeks)
- Much higher than US (no federal paid maternity leave)

Recognition of Changing Family Structures

- Adoption is increasingly common
- Surrogacy growing
- Act recognizes evolving definitions of motherhood

Work-from-Home

- Supports work-life balance
- Helps women return to work gradually
- Modern workplace flexibility

Mandatory Crèche

- Promotes mothers returning to work
- Supports breastfeeding (15 months)
- Reduces women attrition from workforce

Conclusion

The Maternity Benefit Act, 1961 (as amended in 2017) represents **progressive labour legislation**. By providing:

- 26 weeks paid leave
- Recognition of adoptive/commissioning mothers
- Mandatory crèche facilities
- Work-from-home option
- Strong protection against dismissal

...it ensures India fulfils both **constitutional and international commitments**. While implementation challenges remain (especially in unorganised sector), the law marks a **milestone in women's labour rights**. The next steps are extending these protections to gig workers, domestic workers, and informal

sector — fulfilling the constitutional vision of substantive gender equality under Articles 14, 15(3), 39(d), 42, and 43.

B.3 — Payment of Gratuity Act 1972 — Complete ★★★★★

Introduction

The **Payment of Gratuity Act, 1972** is a **beneficial social security legislation** providing a **LUMP-SUM RETIREMENT BENEFIT** to employees for long and meritorious service. It bridges the gap between active service and retirement. Recent amendments — particularly **2018 raising the ceiling to Rs.20 lakh** — have made it more relevant in today's economy. The Act implements **Article 41** (right to social security in cases of old age).

Definition of Gratuity

Gratuity is a **one-time lump-sum payment** by employer for long, continuous, meritorious service.

Judicial Definition

- *Indian Hume Pipe Co. v. Their Workmen (1960)* — SC described gratuity as “**reward for past service**” and “**social security in old age**”
- It is **NOT charity** but a **STATUTORY RIGHT**
- A “**deferred wage**”

Applicability [Section 1(3)]

- Every **factory, mine, oilfield, plantation, port, railway**
- Every shop or establishment with **10+ persons** on any day in preceding 12 months
- **Educational institutions, hospitals, motor transport** — covered
- Once applies, **CONTINUES** even if employees drop below 10
- Government employees covered under separate gratuity rules

Definition of Employee [Section 2(e)]

- Any person (other than apprentice) employed for wages
- Manual, skilled, unskilled, supervisory, technical, clerical
- Whether terms express or implied
- **NO wage ceiling** for coverage (earlier had; removed)
- Includes **teachers in private schools** (after 2009 amendment with retrospective effect)

Eligibility [Section 4]

- **Continuous service of 5 YEARS**
- Termination by:
 - Retirement
 - Resignation
 - Superannuation
 - **Death**

- **Disablement**

Exception: 5-year requirement **WAIVED** in case of:

- **Death** — paid to nominee/heirs
- **Disablement** due to accident or disease

Continuous Service [Section 2A]

- Uninterrupted service
- **NOT broken by** sickness, accident, leave, lay-off, strike, lockout (not employee's fault)
- Worker who completes **240 days in 12 months** (190 in mines/seasonal) deemed continuous for 1 year
- Service can be aggregated despite breaks

Calculation of Gratuity [Section 4(2)]

 **Formula:**

Gratuity = (Last drawn wage × 15 × Completed years of service) ÷ 26

Components

- **Last drawn wage** = Basic + DA (excludes HRA, overtime, bonus)
- **15** = 15 days' wages per completed year
- **26** = working days in a month
- **Fraction beyond 6 months** → treated as full year

 **Example:** Salary Rs.40,000, 22 years 7 months service:

- Rounded to 23 years
- $(40,000 \times 15 \times 23) \div 26 = \text{Rs.5,30,769}$

Special Cases

- **Seasonal** — 7 days' wages per season
- **Piece-rated** — average of preceding 3 months
- **Daily wage** — average of preceding 3 months

Maximum Gratuity Limit

- Originally Rs.10 lakh
- Raised to **Rs.20 lakh** by **Payment of Gratuity (Amendment) Act, 2018**
- Amount above ceiling is **TAXABLE**

Forfeiture [Section 4(6)]

Partial Forfeiture

- Damage/loss to property by **wilful omission/negligence**
- Forfeiture **to the extent of loss only**

Total Forfeiture

- **Riotous/disorderly conduct or violence**
- **Offence involving moral turpitude** in course of employment

- Forfeiture must be specifically ordered while terminating

Nomination [Section 6]

- Employee with **1+ year** service **MUST** nominate family member(s) in **FORM F**
- Non-family nomination void if family exists
- Can modify/replace nomination
- On death — directly to nominee; no succession certificate

Time Limit for Payment [Section 7]

- Within **30 DAYS** of becoming payable
- Delay → Simple interest at rate notified by Central Govt
- Order must specify time, amount, beneficiary

Controlling Authority [Section 3]

- Appointed by appropriate government
- Receives claims, adjudicates disputes
- Powers of civil court (summon witnesses, examine on oath, require documents)
- **Appeal** to appellate authority within **60 days**
- Further appeal to High Court on substantial question of law

Recovery [Section 8]

If employer fails:

- Controlling Authority issues certificate to **Collector**
- Recovered as **ARREARS OF LAND REVENUE** with interest
- Attachment of property, bank accounts possible

Penalties [Section 9]

- **False statement** to evade payment — 6 months imprisonment OR Rs.10,000 fine
- **Non-payment** — imprisonment up to 1 year + fine
- **Multiple offences** — enhanced penalty

Exemption [Section 5]

- Government may **exempt** establishments providing similar/better benefits
- Conditions: written agreement with workers; benefit not less favourable
- Withdrawal of exemption if conditions violated

Tax Treatment

Private Sector

- Up to **Rs.20 lakh** — **TAX EXEMPT** under Section 10(10)(ii) of Income Tax Act
- Above Rs.20 lakh — taxable

Government Sector

- Fully tax-exempt for gratuity under Section 10(10)(i)

Case Laws

⚖️ **Case:** *Indian Hume Pipe v. Their Workmen (1960)* — Gratuity is reward for long service.

⚖️ **Case:** *Bharat Coking Coal Ltd. v. Jaswant Singh Gill (2007)* — Forfeiture cannot be presumed; must strictly satisfy Section 4(6).

⚖️ **Case:** *Punjab National Bank v. K.K. Vohra (2007)* — Continuous service includes leave; broader interpretation.

⚖️ **Case:** *Bharat Gold Mines v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating.

⚖️ **Case:** *Y.K. Singla v. Punjab National Bank (2013)* — Employer cannot withhold gratuity except per Section 4(6).

Conclusion

The Payment of Gratuity Act, 1972 is a **MODEL of social welfare legislation**. It:

- **Rewards long service** through statutory lump-sum
- Provides **financial cushion at retirement**
- Reduces **post-retirement insecurity**
- Implements **Article 41** (social security)

By raising the ceiling to **Rs.20 lakh** in 2018 and bringing teachers within scope (2009 amendment), recent amendments make it **more inclusive**. The **Code on Social Security, 2020** has subsumed this Act, but its core continues. The challenge ahead is **extending gratuity to the unorganized sector and gig workers** — fulfilling the constitutional vision of social and economic justice under **Articles 39, 41, and 43**.

B.4 — Forfeiture and Recovery of Gratuity ★★★★★

Introduction

While **gratuity is a statutory right** under the Payment of Gratuity Act, 1972, it is **not absolute**. The Act provides for **FORFEITURE** in cases of specific misconduct and a robust **RECOVERY** mechanism when employers default. These provisions balance worker entitlement with employer interests, and ensure that gratuity remains a meaningful right with effective enforcement.

Statutory Basis

- **Section 4(6)** — Forfeiture of gratuity
- **Section 7** — Determination of amount and time limit
- **Section 8** — Recovery of gratuity
- **Section 9** — Penalties for default

FORFEITURE OF GRATUITY [Section 4(6)]

Two Categories

1. Partial Forfeiture [Section 4(6)(a)]

Ground: Employee causes **damage or loss to property** belonging to employer by **wilful omission or negligence**.

Conditions:

- Loss must be specifically caused by employee
- Must be due to **wilful** act or **negligence**
- Loss must be quantified

Extent of Forfeiture:

- Only to the extent of damage/loss
- Not the entire gratuity
- Excess gratuity payable to employee

 **Example:** Employee through negligence damages machinery worth Rs.1 lakh. His gratuity is Rs.5 lakh.

- Forfeit Rs.1 lakh; Pay Rs.4 lakh

2. Total Forfeiture [Section 4(6)(b)]

Two Grounds:

(i) Riotous or Disorderly Conduct or Violence

- Violent conduct at workplace
- Threats, assault on supervisors/co-workers
- Destruction of property
- Causing breach of peace

(ii) Offence Involving Moral Turpitude in Course of Employment

- Crime involving dishonesty, deceit, or depravity
- Theft, fraud, forgery, sexual harassment, embezzlement
- Must be committed **in course of employment**
- Conviction by court is helpful evidence
- Domestic enquiry finding may also be sufficient

Extent of Forfeiture:

- **ENTIRE GRATUITY** can be forfeited
- No amount payable

Conditions for Valid Forfeiture

1. Forfeiture Must Be Specifically Ordered

- Order **at the time of terminating service**

- Cannot be done later as afterthought
- Should be in writing
- Must specify reasons and grounds

⚠️ **Case:** *Bharat Gold Mines v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating; otherwise employee is entitled to gratuity.

2. Termination of Service is Essential

- Mere commission of misconduct is **insufficient**
- Employee must be **dismissed/terminated**
- If employer chooses to keep employee, no forfeiture

3. Domestic Enquiry Required

- Proper enquiry must precede dismissal
- Show-cause notice
- Opportunity to be heard
- Natural justice followed
- Burden of proof on employer

4. Section 4(6) to be Strictly Complied

- Grounds must precisely fit Section 4(6)
- Other misconducts don't justify forfeiture
- Strict construction

⚠️ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal (2007)* — Forfeiture only if Section 4(6) strictly satisfied; cannot be presumed.

What is NOT a Ground for Forfeiture?

- Poor performance
- Habitual absenteeism (unless causing loss)
- Insubordination (unless violent)
- Negligence (unless wilful AND causing damage)
- Trade union activities
- Going on strike (legal or illegal)
- Drunkenness (unless causing violence/damage)

Procedure for Forfeiture

1. **Detect misconduct** — investigate and document
2. **Issue show-cause notice** — give opportunity to respond
3. **Conduct domestic enquiry** — natural justice
4. **Pass termination order with forfeiture specifically mentioned**
5. **Communicate** to employee in writing
6. **Defend** before Controlling Authority if challenged

RECOVERY OF GRATUITY

When employer fails to pay gratuity within prescribed time, robust recovery

mechanism kicks in.

Time Limit for Payment [Section 7]

- Within **30 DAYS** of becoming payable
- If delayed, **simple interest** at rate notified by Central Government

Application to Controlling Authority

- Employee files application in **Form N**
- Within 90 days of becoming entitled (extendable)
- Specifies amount, period, basis

Hearing and Order

- Notice to employer
- Hearing with evidence
- Order with reasons
- Direction to pay

Recovery Procedure [Section 8]

If employer fails to comply:

Step 1: Application by Worker

- To Controlling Authority
- Pointing out non-compliance

Step 2: Certificate to Collector

- Controlling Authority **certifies the amount**
- Issues **recovery certificate to Collector**

Step 3: Collector Acts

- Recovers as **ARREARS OF LAND REVENUE**
- Powers:
 - Attachment of property (movable/immovable)
 - Sale of attached property at auction
 - Garnishee orders against debtors
 - Bank account freeze
 - Salary attachment (against subsequent earnings)

Step 4: Recovery with Interest

- Amount + interest (notified rate)
- Cost of recovery

Penalties for Non-Payment [Section 9]

Offence	Penalty
False statement	6 months imprisonment OR Rs.10,000 fine
Non-payment	Up to 1 year imprisonment + fine
Repeat offence	Enhanced penalty

Appeal Process [Section 7(7)]

- Appeal to **Appellate Authority**
- Within **60 days** of Controlling Authority's order
- Employer must deposit amount with appeal (some interpretations)
- Further appeal to **High Court** on substantial question of law

Tax Liability

- Wrongfully forfeited gratuity is still gratuity in employee's hands
- Employee can claim tax exemption up to Rs.20 lakh
- Recovered amounts treated as gratuity

Employee's Remedies

When gratuity is wrongfully forfeited or denied:

1. **Application to Controlling Authority** — primary remedy
2. **Appeal to Appellate Authority** — within 60 days
3. **Writ petition** in High Court — for arbitrary action
4. **Civil suit** — limited (Section 14 bars some civil suits)
5. **Recovery through Collector** — as land revenue arrears

Case Laws

⚖️ **Case:** *Bharat Gold Mines v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating.

⚖️ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal (2007)* — Section 4(6) strictly construed.

⚖️ **Case:** *Y.K. Singla v. Punjab National Bank (2013)* — Employer cannot withhold gratuity beyond Section 4(6).

⚖️ **Case:** *State of Karnataka v. R.S. Patel (2002)* — Forfeiture without enquiry invalid.

Conclusion

The forfeiture and recovery provisions of the Payment of Gratuity Act, 1972 represent a **careful balance**:

Forfeiture Provisions Protect Employer

- For genuine misconduct causing loss
- For violent/dishonest conduct
- Strict procedural requirements prevent abuse

Recovery Provisions Protect Employee

- Quick mechanism through Controlling Authority
- Recovery as arrears of land revenue
- Penalties for default
- Appeal rights

The **strict construction** of Section 4(6) by courts ensures forfeiture is **NOT a tool for harassment**. Workers can challenge wrongful forfeiture, and effective recovery ensures gratuity remains a **meaningful right**, not a paper promise. Together, these provisions implement the constitutional vision of **social security with safeguards** under **Article 41**.

PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use IRAC method:

- Issue — what is the legal question?
- Rule — what law/section applies?
- Application — apply law to facts
- Conclusion — clear yes/no answer

C.1 — Employee dismissed after 4 years 8 months. Entitled to gratuity? ★★★★★

Facts

Mr. Kumar worked in a private company for **4 years and 8 months** before being dismissed by the employer for poor performance. He claims gratuity under the Payment of Gratuity Act, 1972. The employer refuses, citing the **5-year service requirement**.

Issue

Whether an employee with **less than 5 years** of continuous service is entitled to gratuity?

Rule (Applicable Law)

- **Section 4(1) of Payment of Gratuity Act, 1972** — Eligibility for gratuity
- Requires **5 years of continuous service**
- **Exception:** 5-year requirement waived in case of **death** or **disablement**
- **Section 2A** — Definition of continuous service
- Worker who completes **240 days in 12 months** = deemed continuous for 1 year
- The **5-year requirement is strict**, not subject to broad exceptions

Application

Strict Reading

- Service is 4 years 8 months — **less than 5 years**
- Section 4(1) requires 5 years
- Reason for termination (poor performance, not death/disablement) does NOT trigger the exception
- Therefore, **NOT eligible** for gratuity

Consideration of “Continuous Service”

- Even though 8 months are short, they don’t aggregate to 5 years
- Section 2A’s 240-day rule applies to single years, not cumulative
- Cannot stretch 4y 8m to 5y by interpretation

Possibility of Aggregation

- If Mr. Kumar had earlier service with another related entity (sister concern, transferred)
- If service continued via transfer/promotion within group
- Then aggregation may push beyond 5 years

Why Poor Performance is Different

- Section 4(1) exceptions are limited to death/disablement
- Poor performance is not “death” or “disablement”
- Strict statutory construction

Case Laws

⚖️ **Case:** *Punjab National Bank v. K.K. Vohra (2007)* — Continuous service includes leave; but 5-year requirement is strict.

⚖️ **Case:** *State Bank of India v. Ram Chandra Dubey (2001)* — 5-year requirement strictly applied.

⚖️ **Case:** *Indian Hume Pipe v. Their Workmen (1960)* — Gratuity is reward for “long” service; 5-year threshold reflects this.

Alternative Possibilities

1. Termination = “Disablement”?

- Generally NO — disablement means medical/physical incapacity
- Termination due to poor performance is not disablement

2. Notice Pay/Severance

- Different from gratuity
- May be available under contract or labour law
- Mr. Kumar can pursue separately

3. EPF Withdrawal

- Mr. Kumar can withdraw his EPF balance
- This is separate from gratuity

4. Challenge Termination

- If termination is wrongful, Mr. Kumar can challenge
- If reinstated retroactively, service may be deemed continuous
- Could cross 5 years if delayed

What If 5 Years Were Completed?

- Calculation: Service = 5 years (if completed)
- Salary at termination: assume Rs.30,000

- Gratuity = $(30,000 \times 15 \times 5) \div 26 = \text{Rs.86,538}$

Conclusion

NO, Mr. Kumar is **NOT ENTITLED** to statutory gratuity under the Payment of Gratuity Act, 1972 because his service of **4 years 8 months falls short of the 5-year minimum** under Section 4(1).

The exceptions to the 5-year rule are limited to:

- **Death** of employee
- **Disablement** due to accident or disease

Poor performance termination does not fall under exceptions. Strict statutory construction has been consistently applied by courts.

Mr. Kumar's alternative remedies:

- **EPF withdrawal** — full PF balance accessible
- **Notice pay/severance** under contract
- **Challenge wrongful termination** through labour court — if reinstated retroactively, may cross 5 years
- **Bonus** if eligible under Code on Wages (separate right)

Lesson: The 5-year threshold is strict. Workers approaching this should be aware to avoid being denied due to slightly short service.

C.2 — Woman terminated during maternity leave. Valid?



Facts

Ms. Priya, a woman employee in a private company, went on **maternity leave** on 1 August 2024 (expected delivery 1 October 2024). On 15 September 2024, the employer **terminated her services** citing "company restructuring." She challenges the termination.

Issue

- (1) Whether the termination of a woman during maternity leave is valid?
- (2) What are her remedies?

Rule (Applicable Law)

- **Section 12 of Maternity Benefit Act, 1961** — Dismissal during pregnancy/maternity leave
- **No discharge/dismissal** during maternity leave
- Cannot terminate during pregnancy except on **grounds of misconduct**
- **Section 5** — Right to 26 weeks paid maternity leave
- **Article 42** — Constitutional mandate for maternity relief
- **Penalty:** Imprisonment 3 months to 1 year + fine

Application

Termination is Invalid

- Ms. Priya was **on maternity leave** at time of termination
- “Company restructuring” is NOT a ground of misconduct
- Section 12 expressly prohibits dismissal during maternity leave
- Even genuine business reasons don’t justify termination

Why So Strict?

- Pregnancy is a vulnerable period
- Women shouldn’t be punished for being pregnant
- Constitutional commitment to gender equality (Article 15(3))
- Maternity is protected status

Limited Exception

- Only **misconduct** can justify termination during pregnancy
- Must be:
 - Specific misconduct (theft, fraud, violence)
 - With proper enquiry
 - Independent of pregnancy

“Company Restructuring” is Not Misconduct

- It’s a business decision
- Workers in general may be affected
- But for a woman on maternity leave, special protection applies

Case Laws

⚖️ **Case:** *Air India v. Nergesh Meerza (1981)* — Discriminatory termination based on pregnancy unconstitutional.

⚖️ **Case:** *Municipal Corporation of Delhi v. Female Workers (2000)* — Maternity rights extend to all women workers, including daily wage.

⚖️ **Case:** *B. Shah v. Presiding Officer (1977)* — Wage cannot be reduced for maternity leave days.

⚖️ **Case:** *Anshu Rani v. State of UP (2014)* — Contractual employees entitled to maternity benefit.

Remedies for Ms. Priya

1. Application to Inspector under MB Act

- Inspector appointed under Section 14
- Can investigate and take action
- Employer faces penalty

2. Reinstatement

- Demand reinstatement with continuity of service
- Back wages for the period

- All benefits during maternity leave

3. Maternity Benefit

- 26 weeks paid leave at full wage
- Even if terminated, the benefit must be paid
- Medical bonus Rs.3,500

4. Writ Petition in High Court

- Article 226 jurisdiction
- For violation of fundamental rights (Article 15, 21)
- Quick remedy

5. Labour Court / Industrial Tribunal

- If covered as workman under Industrial Relations Code
- For reinstatement with back wages
- For damages

6. Civil Suit

- For damages
- Breach of statutory duty
- Tort liability

7. Criminal Complaint

- Section 21 of MB Act
- Penalty: Imprisonment 3 months to 1 year + fine

8. Equal Pay Code (Code on Wages 2019)

- Section 3 of Code on Wages 2019 — equal treatment
- Discrimination based on gender prohibited
- Additional remedies

Calculation of Damages

If reinstated retroactively:

- **Maternity Benefit:** 26 weeks × average wage
- **Back wages** for period of wrongful termination
- **Damages** for emotional distress
- **Costs** of legal proceedings

Conclusion

NO, the termination of Ms. Priya during maternity leave is **INVALID** and **ILLEGAL** under:

- **Section 12 of Maternity Benefit Act, 1961** — direct prohibition
- **Article 15(3)** — discrimination protection
- **Article 21** — right to life and livelihood
- **Article 42** — maternity relief mandate

“Company restructuring” is **NOT a ground of misconduct** and cannot justify termination during maternity leave. The employer’s action exposes him to:

- **Criminal liability** (3 months to 1 year imprisonment + fine)
- **Civil liability** (damages, back wages)
- **Mandatory reinstatement** with continuity of service

Ms. Priya should immediately:

1. File **complaint with Inspector** under MB Act
2. File **writ petition** in High Court
3. Demand **reinstatement + back wages + maternity benefit**
4. Seek **criminal action** under Section 21

Courts have consistently struck down such terminations as violative of constitutional and statutory rights. This case represents a clear violation that will be reversed by any competent court.

C.3 — Employee dismissed for theft after 15 years. Gratuity forfeitable? ★★★★★

Facts

Mr. Rao worked for a company for **15 years**. He was caught stealing company tools worth Rs.50,000. After proper domestic enquiry, he was **dismissed in October 2024**. Now he claims **gratuity** under the Payment of Gratuity Act, 1972. The employer refuses, citing forfeiture due to theft.

Issue

Whether an employee dismissed for theft can have his entire gratuity forfeited under Section 4(6) of the Payment of Gratuity Act, 1972?

Rule (Applicable Law)

- **Section 4(6) of Payment of Gratuity Act, 1972** — Forfeiture
- **Section 4(6)(a)** — Partial forfeiture for damage/loss by wilful omission/negligence (extent of loss)
- **Section 4(6)(b)** — Total forfeiture for:
 - (i) Riotous or disorderly conduct/violence
 - (ii) **Offence involving moral turpitude in course of employment**

Application

Theft = Moral Turpitude

- Theft is a classic offence involving **moral turpitude**
- It involves:
 - **Dishonesty**

- **Deceit**
- **Depravity** of character
- Theft of company property in course of employment squarely falls under Section 4(6)(b)(ii)

Conditions Satisfied for Forfeiture

1. **Misconduct = Moral Turpitude** ✓ — theft qualifies
2. **In Course of Employment** ✓ — theft was of company tools at workplace
3. **Termination/Dismissal** ✓ — Mr. Rao was dismissed
4. **Proper Domestic Enquiry** ✓ — conducted
5. **Show-Cause + Opportunity** ✓ — implicit in proper enquiry

Forfeiture Must Be Specifically Ordered

- Section 4(6)(b) allows **TOTAL FORFEITURE**
- BUT it must be **specifically ordered** at time of dismissal
- Cannot be done as afterthought
- *Bharat Gold Mines v. RLC (1987)* — strict requirement

Check the Termination Order

- Did the dismissal order specifically mention forfeiture?
- Did it cite Section 4(6)(b)?
- Was it in writing?
- If yes — forfeiture valid; gratuity forfeited entirely
- If no — gratuity payable despite the theft

Case Laws

⚖️ **Case:** *Bharat Gold Mines Ltd. v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating service.

⚖️ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal (2007)* — Forfeiture only if Section 4(6) strictly satisfied.

⚖️ **Case:** *Wazir Chand v. Union of India (2001)* — Departmental finding sufficient; conviction not always needed for moral turpitude.

⚖️ **Case:** *Y.K. Singla v. Punjab National Bank (2013)* — Employer cannot withhold gratuity beyond Section 4(6).

Calculation If Forfeited

If forfeited entirely:

- Gratuity = ZERO

If only partial forfeiture (damage extent):

- Gratuity = $(15,000 \times 15 \times 15) \div 26 = \text{Rs.}1,29,808$ (approximate, depending on actual wage)
- Less: Damage of Rs.50,000

- Payable: Approximately Rs.79,808

Mr. Rao's Possible Defenses

1. **Forfeiture Not Specifically Ordered**
 - If termination order didn't mention forfeiture
 - Cannot be done now as afterthought
 - Gratuity must be paid
2. **Defects in Enquiry**
 - If domestic enquiry was flawed
 - Show-cause not given
 - Natural justice violated
 - Forfeiture may be set aside
3. **Application of Section 4(6)(a)**
 - Argue for partial forfeiture (only to extent of loss)
 - Pay gratuity minus Rs.50,000
4. **Appeal to Appellate Authority**
 - Within 60 days
 - Show legal defects

Procedural Issues

What Should Employer Do?

- Issue termination order **specifically mentioning forfeiture**
- Cite **Section 4(6)(b)(ii)** — moral turpitude
- Provide written reasons
- Communicate to employee

What if Employer Didn't Do This?

- Mr. Rao entitled to gratuity despite theft
- Employer's failure of procedure costs him forfeiture right
- Strict compliance required

Conclusion

The answer depends on **PROCEDURAL COMPLIANCE**:

Scenario 1: Forfeiture Specifically Ordered

- **YES, the employer can forfeit Mr. Rao's ENTIRE GRATUITY** under Section 4(6)(b)(ii)
- Theft = moral turpitude in course of employment
- Termination + proper enquiry already done
- Total forfeiture is valid
- Mr. Rao gets ZERO gratuity

Scenario 2: Forfeiture NOT Specifically Ordered

- Employer **CANNOT now forfeit** Mr. Rao's gratuity
- Must pay full gratuity despite theft
- *Bharat Gold Mines* — strict procedural requirement
- Employer can only recover Rs.50,000 (extent of loss) via partial forfeiture if argued

Lesson: Employers must specifically order forfeiture at time of dismissal, citing Section 4(6). Workers should check procedural compliance to challenge wrongful forfeiture.

Mr. Rao should:

- Examine the termination order
- Apply to Controlling Authority for gratuity
- If forfeiture wasn't specifically ordered, demand full payment
- If specifically ordered, challenge before Controlling Authority on merits/procedural grounds

C.4 — Adoptive mother claims 26-week maternity leave. Valid?



Facts

Mrs. Kavita and her husband **legally adopted a baby boy on 1 October 2024** (the child is 2 months old). Mrs. Kavita works in a private IT company with 200 employees. She claims **26 weeks of maternity leave** under the Maternity Benefit Act, 1961. The employer offers only 12 weeks. She challenges.

Issue

Whether an adoptive mother is entitled to 26 weeks or only 12 weeks of maternity leave under the Maternity Benefit Act, 1961?

Rule (Applicable Law)

- **Section 5 of Maternity Benefit Act, 1961** (as amended in 2017)
- **26 WEEKS** for **biological mother** (first 2 children)
- **12 WEEKS** for:
 - 3rd child onwards (biological)
 - **Adoptive mother** (adopting child below 3 months)
 - **Commissioning mother** (surrogacy)
- The distinction is **statutory** — Act expressly provides different leave for biological vs. adoptive/commissioning mothers

Application

Adoptive Mother

- Mrs. Kavita is an **adoptive mother**
- She has adopted a baby boy
- Child is 2 months old — below 3 months, satisfies eligibility

- Statutory entitlement: **12 WEEKS**, NOT 26 weeks

Why Different Treatment?

- The Act recognizes the **biological recovery** needs of mothers who give birth
- 26 weeks for biological mothers reflects medical recovery + bonding
- Adoptive mothers have a different (but real) need
- 12 weeks for adoptive mothers covers bonding period

Conditions for Adoptive Mother's 12 Weeks

1. **Legal adoption** ✓
2. **Child below 3 months** at time of adoption ✓
3. **Notice to employer** ✓ (should give)
4. **80 days service** in past 12 months ✓ (presumed from full-time IT job)

Employer's Position is Correct

- Offering 12 weeks aligns with statutory entitlement
- Not entitled to 26 weeks
- However, employer may **voluntarily** offer more (favourable HR policy)

Calculation of Leave

- 12 weeks = 84 days
- Mrs. Kavita can avail from 1 October 2024 (date of adoption)
- Until approximately 24 December 2024 (12 weeks later)

Pay During Leave

- **Average daily wage** for actual days of leave
- Calculated based on preceding 3 months
- Full pay, not reduced

Additional Rights Available

1. Nursing Breaks [Section 11]

- Even adoptive mothers can have nursing breaks
- Until child is 15 months old

2. Crèche Facility [Section 11A]

- Company has 200 employees → MANDATORY
- Mrs. Kavita can use crèche
- 4 visits per day

3. Work-from-Home

- Subject to mutual agreement

4. No Dismissal During Leave [Section 12]

- Protection from dismissal applies
- Even during 12-week adoptive leave

5. Medical Bonus

- Likely not applicable (no childbirth medical expenses)
- But check company policy

6. Leave for Sickness of Child

- Some companies have additional family leave
- Beyond MB Act

Case Laws

🏛️ **Case:** *2017 Amendment to Maternity Benefit Act* — Codified rights of adoptive/commissioning mothers.

🏛️ **Case:** *Hindustan Latex v. Mathew P. (2012)* — Adoptive mothers' rights recognized.

🏛️ **Case:** *Geetha Hariharan v. RBI (1999)* — Adoptive parenting given parity in many contexts.

Wider Significance

The 2017 amendment **recognized changing family structures:**

- Adoption is increasingly common
- Surrogacy is growing
- Modern family is diverse

Adoption Trends in India

- Central Adoption Resource Authority (CARA) statistics
- 4,000-5,000 legal adoptions per year
- Increasing acceptance

Same for Commissioning Mothers (Surrogacy)

- 12 weeks paid leave
- After surrogate birth
- Bonding period recognized

Why Not 26 Weeks for Adoptive?

Arguments For 26 Weeks (Equal Treatment)

- Bonding is equally important
- Adoptive child also needs care
- Adoptive mother also faces work-life challenges

Arguments For 12 Weeks (Current Position)

- No biological recovery needed
- Different from physical childbirth
- Adoption is planned (allows preparation)
- Reasonable compromise

The 12-week period reflects this balance.

Conclusion

NO, Mrs. Kavita is **NOT entitled to 26 weeks** of maternity leave. As an **adoptive mother**, she is entitled to **12 WEEKS** under Section 5(4) of Maternity Benefit Act, 1961 (as amended in 2017).

The employer's offer of **12 weeks is correct and complies with the law**.

Mrs. Kavita can:

- Avail 12 weeks paid leave (from date of adoption)
- Continue to enjoy other MB Act benefits:
 - Nursing breaks (15 months)
 - Crèche facility (mandatory in company of 200+)
 - Work-from-home option
 - Protection from dismissal
- Negotiate **extra leave** with employer (additional benefit, not statutory right)

She cannot legally claim 26 weeks — that is reserved for biological mothers (first 2 children). However, she has the **important statutory protections** of the 12-week leave + other benefits.

Lesson: The Maternity Benefit Act treats different categories of mothers differently. Adoptive and commissioning mothers get 12 weeks; biological mothers get 26 weeks (first 2 children). Understanding the distinction is crucial for both employees and employers.

C.5 — EPF withdrawal for daughter's marriage after 8 years of service. Valid? ★★★★★

Facts

Mr. Sharma has been an EPF member for **8 years**, contributing regularly. His daughter is getting married in December 2024, and he wants to **partially withdraw from EPF** to fund the marriage. He applies to EPFO. The employer denies that early withdrawal is allowed.

Issue

Whether an EPF member can make a partial withdrawal from his Provident Fund for a child's marriage, and what are the conditions?

Rule (Applicable Law)

- **Section 5 of EPF & MP Act, 1952** — Provident Fund Scheme 1952
- **Para 68K of EPF Scheme, 1952** — Withdrawal for marriage
- Conditions for marriage withdrawal:
 - **Minimum 7 YEARS** of EPF membership
 - For self, son, daughter, brother, sister
 - **Maximum 50%** of employee's own contribution (with interest)

- This is a **partial withdrawal**, not loan
- No need to refund

Application

Eligibility Check

Condition	Status
7+ years of membership	✓ (Mr. Sharma has 8 years)
For child's marriage	✓ (Daughter's marriage)
Application to EPFO	Required
Maximum 50% of own share	Applies

Mr. Sharma IS ELIGIBLE for partial withdrawal.

Employer's Position is Wrong

- Employer claims "early withdrawal not allowed"
- But Para 68K clearly permits withdrawal for marriage after 7 years
- Employer cannot block this
- EPFO directly processes the claim

Application Process

1. **Form 31** — Application for advance from PF
2. Submit to **EPFO** (online or through employer)
3. Specify reason: "daughter's marriage"
4. Provide:
 - Marriage card/invitation
 - Daughter's identity proof
 - Mr. Sharma's identity
5. Disbursal typically in 3-7 days

Maximum Permissible Withdrawal

- **50% of own contribution + interest accrued thereon**
- NOT 50% of total PF balance (only employee's share)
- Employer's contribution + accumulated interest remains untouched

Calculation Example

- Mr. Sharma's total PF balance: Rs.4,00,000
- His own share (with interest): Rs.2,00,000
- Employer's share: Rs.2,00,000
- **Maximum withdrawal for marriage: 50% of Rs.2,00,000 = Rs.1,00,000**

Tax Treatment

- **TAX-FREE** withdrawal (after 5 years of service)
- Section 10(12) of Income Tax Act
- No TDS deducted

Other Permitted Withdrawals (For Comparison)

Purpose	Min. Service	Max. Amount
Marriage of self/children/siblings	7 years	50% of own share
Higher education of self/children	7 years	50% of own share
Purchase of land/house	5 years	24 months' wages or actual cost
House construction	5 years	36 months' wages or actual cost
Repayment of housing loan	10 years	36 months' wages
Pre-retirement	Age 54	90% of total balance
Treatment of illness (self/dependents)	None	6 months' wages or amount required
Repair of house	5 years	12 months' wages
Unemployment > 1 month	1 month	75% of total
Unemployment > 2 months	2 months	100% of total (full withdrawal)

Case Laws

⚖️ **Case:** *Para 68K of EPF Scheme, 1952* — Statutory permission for marriage withdrawal.

⚖️ **Case:** *RPFC v. Hooghly Mills (2012)* — EPFO's powers to process claims directly.

⚖️ **Case:** *EPFO Circulars (various)* — Streamlined process for partial withdrawals.

Employer's Role

- Cannot block legitimate EPF withdrawal
- Must forward Form 31 to EPFO
- Cannot question reasons (subject to documentation)
- Liable for delay if obstructs process

If employer refuses:

- Worker can **apply directly online** (UAN portal)
- File complaint with **Regional PF Commissioner**
- **Grievance redressal** through EPFiGMS portal

What About Employer's Contribution?

- Stays in account
- Continues to earn interest
- Available later (on retirement, resignation > 2 months, etc.)

- Cannot be withdrawn for marriage (only employee's own share)

Pension Contribution (8.33%)

- Part of pension fund
- Not withdrawable for marriage
- Continues for pension scheme

Conclusion

YES, Mr. Sharma can **WITHDRAW** from his EPF for his daughter's marriage under **Para 68K of EPF Scheme, 1952**. He satisfies all conditions:

- **8 years** of membership (> 7 years required)
- **Daughter's marriage** is a covered purpose
- Can withdraw **up to 50% of his own share** (with interest)

The employer's claim that "early withdrawal not allowed" is **INCORRECT**. Mr. Sharma should:

1. Submit **Form 31** to EPFO (online or via employer)
2. Provide **marriage card/proof**
3. Apply for **50% of his own contribution**
4. Disbursal in 3-7 working days
5. **Tax-free** withdrawal (8+ years service)

If employer obstructs:

- **Apply directly online** via UAN portal
- **Complain to Regional PF Commissioner**
- **Use EPFIGMS** for grievance redressal

The withdrawal does not affect:

- **Employer's contribution** (stays)
- **Pension fund** (continues)
- **Future contributions** (continue normally)

This is a well-established right under EPF Scheme, and any obstruction by employer is legally untenable.

UNIT IV — QUICK REVISION SHEET

Key Acts and Sections

EPF & MP Act, 1952

Section	Topic
Section 1(3)	Applicability
Section 2(f)	Definition of employee
Section 5	EPF Scheme

Section	Topic
Section 6A	Pension Scheme
Section 6C	EDLI Scheme
Section 7A	Power to determine amounts due
Section 8	Recovery as land revenue arrears
Section 8F	Attachment of bank accounts
Section 14B	Damages for default
Section 17	Exemption
Para 68K (Scheme)	Marriage withdrawal

Maternity Benefit Act, 1961

Section	Topic
Section 2	Applicability
Section 4	Heavy work prohibition
Section 5	Maternity leave (26 weeks)
Section 8	Medical bonus
Section 9	Miscarriage leave (6 weeks)
Section 9A	Tubectomy leave (2 weeks)
Section 10	Illness leave (1 month)
Section 11	Nursing breaks
Section 11A	Crèche facility (50+ employees)
Section 12	Dismissal prohibition
Section 14	Inspectors
Section 21	Penalty

Payment of Gratuity Act, 1972

Section	Topic
Section 1(3)	Applicability (10+ employees)
Section 2(e)	Definition of employee
Section 2A	Continuous service (240 days)
Section 3	Controlling Authority
Section 4	Eligibility (5 years)
Section 4(2)	Formula
Section 4(6)	Forfeiture
Section 5	Exemption
Section 6	Nomination
Section 7	Payment (30 days) + Appeal
Section 8	Recovery as land revenue arrears
Section 9	Penalties

Key Numbers to Remember

EPF

Concept	Number
EPF threshold	20+ employees
Wage ceiling	Rs.15,000/month
Employee contribution	12%
Employer contribution	12% (8.33% pension + 3.67% PF)
Government to pension	1.16%
EDLI contribution	0.50% employer
Pension scheme launched	16 Nov 1995
Pension service required	10 years
Full pension age	58
Reduced pension age	50 (4% reduction/year)
EDLI maximum	Rs.7 lakh
EDLI minimum	Rs.2.5 lakh
Marriage withdrawal	7 years; 50% of own share
Pre-retirement withdrawal	Age 54; 90%
Pension formula	$(\text{Pensionable Salary} \times \text{Service}) \div 70$

Maternity Benefit

Concept	Number
Eligibility service	80 days in 12 months
Biological mother leave	26 weeks
3rd child onwards	12 weeks
Adoptive/commissioning	12 weeks
Pre-delivery leave	Max 8 weeks
Miscarriage leave	6 weeks
Tubectomy leave	2 weeks
Illness leave	1 month
Nursing breaks	Until child is 15 months
Crèche threshold	50+ employees
Crèche visits	4 per day
Medical bonus	Rs.3,500
Penalty for dismissal	3 months to 1 year + fine

Gratuity

Concept	Number
Establishment threshold	10+ employees
Eligibility service	5 years
Continuous service	240 days/year (190 mines)

Concept	Number
Formula multiplier	15 days
Divisor	26 (working days)
Maximum gratuity	Rs.20 lakh
Payment deadline	30 days
Appeal limitation	60 days
Penalty	6 months/1 year + fine

Top 12 Cases for Unit IV

1. *Indian Hume Pipe v. Their Workmen (1960)* — Gratuity is reward for service
2. *Bharat Coking Coal v. Jaswant Singh Gill (2007)* — Forfeiture strict
3. *Bharat Gold Mines v. RLC (1987)* — Forfeiture specifically ordered
4. *Y.K. Singla v. Punjab National Bank (2013)* — Cannot withhold gratuity
5. *Punjab National Bank v. K.K. Vohra (2007)* — Continuous service
6. *Municipal Corporation of Delhi v. Female Workers (2000)* — Maternity benefit even for daily wage
7. *Air India v. Nergesh Meerza (1981)* — Anti-pregnancy discrimination unconstitutional
8. *B. Shah v. Presiding Officer (1977)* — Wages cannot be deducted for maternity leave
9. *Anshu Rani v. State of UP (2014)* — Contractual employees entitled
10. *Regional PF Commissioner v. Shibu Metal Works (1965)* — Allied industries covered (EPF)
11. *Andhra University v. RPFC (1985)* — Universities covered
12. *Marathwada Gramin Bank v. Shankar Lal (2010)* — Wide EPF employee interpretation

Memory Mnemonics

- EPF Three Schemes: "PF (1952) + Pension (1995) + EDLI (1976)"
- EPF Contribution: "12-12-8.33-3.67-1.16-0.50"
- Pension Formula: "Salary × Service / 70"
- Pension Eligibility: "10 years, age 58, full pension"
- EDLI Range: "Min 2.5L, Max 7L"
- Maternity Numbers: "26-12-12-12-6-2-1" (weeks for various categories)
- Maternity Eligibility: "80 days work; 26 weeks leave; 50+ crèche"
- Gratuity Formula: "15 by 26"
- Gratuity Eligibility: "5 years, Rs.20 lakh max, 30 days to pay"
- Forfeiture: "Partial = Damage; Total = Riot or Moral Turpitude"

Top Trap Questions

- "4 years 11 months service — gratuity?" → NO, need 5 years
- "Adoptive mother — 26 weeks?" → NO, only 12 weeks
- "3rd child — 26 weeks?" → NO, only 12 weeks
- "Daily wage woman — maternity benefit?" → YES (MCD v. Female

Workers)

- **"Terminated during maternity leave?"** → INVALID (Section 12)
- **"EPF withdrawal for marriage?"** → YES, after 7 years, 50% of own share
- **"Pension after 8 years service?"** → Reduced pension only after 10 years
- **"Gratuity for theft dismissal?"** → Forfeitable IF specifically ordered
- **"EPF wages above Rs.15,000?"** → Mandatory coverage up to Rs.15,000; voluntary above
- **"Crèche in company with 40 employees?"** → NOT mandatory (need 50+)

Key Differentiators

EPF vs. ESI vs. Gratuity

Feature	EPF	ESI	Gratuity
Year	1952	1948	1972
Threshold	20+ employees	10+ (power)/20+	10+ employees
Wage ceiling	Rs.15,000	Rs.21,000	NO ceiling
Service required	NONE (immediate)	NONE	5 years
Worker contribution	12%	0.75%	NIL
Employer contribution	12% + 0.5% EDLI	3.25%	Fully employer-paid
Primary benefit	Retirement savings	Medical + cash	Lump-sum on retirement
Maximum	NO LIMIT (insurance Rs.7L)	NO LIMIT (benefits)	Rs.20 lakh

Maternity Leave Comparison

Category	Weeks	Source
Biological mother (first 2 children)	26	2017 Amendment
Biological mother (3rd onwards)	12	Section 5(3) proviso
Adoptive mother	12	2017 Amendment
Commissioning mother (surrogacy)	12	2017 Amendment
Miscarriage	6	Section 9
Tubectomy	2	Section 9A
Illness (additional)	1 month	Section 10

*End of Unit IV — EPF, Maternity, Gratuity / Labour Law-II / Osmania University
LLB 3-YDC IV Semester*